

GLOBAL FINANCE OPERATIONS POLICY

Standard Operating Procedure: Billing Compliance & Tolerances

GLOBAL FINANCE OPERATIONS: BILLING & TOLERANCE POLICY (FIN-POL-2025)

1. PURPOSE & SCOPE

This policy sets mandatory reconciliation criteria for accounts payable and customer billing compliance across all corporate contracts.

2. TOLERANCE THRESHOLDS & VARIANCE RULES

- Standard Tolerance Margin: A line-item or invoice variance of up to 1.0% or \$50.00 (whichever is lower) is permissible for automated matching to account for minor rounding differences.
- Material Variances: Any variance exceeding 1.0% or \$50.00 is classified as an exception requiring human finance review.
- High Exposure Threshold: Any exception with financial exposure exceeding \$1,000.00 requires secondary controller sign-off.

3. DISCOUNT GOVERNANCE

- Contractual discounts stipulated in executed agreements (e.g. promotional discounts, volume tiers) must be applied explicitly on the invoice.
- If an invoice is billed at full gross value when a discount is contractual, the invoice must be placed on hold and disputed.

4. MULTI-CURRENCY REGULATIONS

- Invoices must be billed strictly in the currency designated in the executed agreement.
- Billing in unauthorized alternate currencies constitutes an unmatched exception due to unhedged FX exposure.

5. CONTRACT EXPIRATION CONTROLS

- Services rendered after the contractual termination date cannot be settled automatically.
- Accounts payable must verify whether an active addendum, extension, or renewal is executed before payment release.

6. DUPLICATE BILLING PREVENTION

- Invoices presenting identical customer identity, billing period, and amount will be flagged as DUPLICATE and blocked from settlement.

7. HUMAN-IN-THE-LOOP (HITL) REVIEW PROCESS

- Automated engines provide recommendations, variance breakdowns, and retrieved contractual evidence.
- The final financial disposition (ACCEPT, REJECT, OVERRIDE) must be executed by an authorized human reviewer.
- All reviewer actions must be permanently logged in the audit trail.